

HOUSE BILL NO. 325

INTRODUCED BY S. FITZPATRICK

A BILL FOR AN ACT ENTITLED: "AN ACT REVISING COVENANT LAWS; AND AMENDING SECTION 70-17-210, MCA."

BE IT ENACTED BY THE LEGISLATURE OF THE STATE OF MONTANA:

Section 1. Section 70-17-210, MCA, is amended to read:

"70-17-210. Covenant enforcement and abandonment. (1) ~~An association or any party to an interest in land subject to a covenant, condition, or restriction~~ The following persons may initiate a legal action to enforce covenants, conditions, or restrictions: :

(a) a party to an agreement containing real property covenants, conditions, or restrictions or the party's successors in interest;

(b) the owner of an interest in real property burdened or benefited by a covenant, condition, or restriction; or

(c) a homeowners' association or other governing body of a real property development subject to covenants, conditions, or restrictions.

(2) ~~A parcel~~ The owner of an interest in real property subject to a covenant, condition, or restriction may assert a defense that a covenant, condition, or restriction has been abandoned for purposes of enforcement by offering evidence that no enforcement action has been undertaken for the prescribed period in 27-2-202. Once a covenant, condition, or restriction is abandoned by a court order or agreed to have been abandoned by the approval of the appropriate association or governing body, by recording a notice of abandonment or amendment in the office of the county clerk and recorder of the county where the ~~development property~~ property is situated, all persons are precluded from undertaking a different interpretation or enforcement action of the abandoned covenant, condition, or restriction against a similarly situated ~~parcel~~ owner in the same development of an interest in real property subject to the abandoned covenant, condition, or restriction.

(3) (a) Except as provided in subsection (3)(b), an association or governing body of a real property development that has not met for a period of 15 years is prohibited from taking an enforcement action against a ~~parcel owner~~ the owner of an interest in real property subject to a covenant, condition, or restriction whose use of the ~~parcel~~ property is substantially similar to the nature and scope of the use of other ~~parcels~~ properties in the development.

(b) Covenants, conditions, and restrictions are still valid and enforceable under this subsection (3) if they are otherwise necessary:

(i) to comply with applicable federal, state, and local laws, ordinances, and regulations;

(ii) for an easement or right-of-way;

(iii) ~~for the maintenance of infrastructure or improvements in the development~~ serving the real
properties burdened or benefited by the covenants, conditions, or restrictions;

(iv) to comply with a court order or the approval provided by a government on the establishment of the covenants, conditions, and restrictions;

(v) for the installation, maintenance, or removal of utilities; or

(vi) to abate a nuisance."

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